

Brand Power:

Products that are backed by powerful brands can charge the customer a premium. These brands give them pricing power over similar substitutes.



Nestle



Maggi noodles and Parle-G biscuits allow the companies Nestle and Parle Products to charge a premium.

Regulatory factors:

Regulatory factors can both increase as well as decrease pricing power within any industry.

- They can limit entry into any industry and thus reduce the price elasticity of supply.

- They can also enable existing players to increase their prices and enjoy increased profitability.

- At the same time, some industries have their prices regulated. In such cases, despite the companies having the market power to increase prices, they are not able to do so. This leads to poor pricing power.
- for ex: petrol, sugar, coal



Many pharmaceutical drugs have their prices regulated, thus leaving no pricing power to such companies.

Based on the factors discussed above, the pricing power of various players in the industry is understood. Entrepreneurs and analysts must look for industries that command higher pricing power. However, it is difficult to enter such industries. But once entry is established, the players can be highly profitable.